

MSP, PROCUREMENT, BUFFER STOCKS

PDS AND FOOD SECURITY

Economy Topic 12 | twelve-panel food-policy master

01. PRICE-TO-FOOD CHAIN

- CACP evidence -> CCEA MSP -> procurement.
- Central pool -> storage / movement.
- NFSA fulfils rights; OMSS affects market supply.

Claim -> named evidence -> analysis -> qualification

02. MSP INSTITUTIONS

- MSP is a price signal, not universal purchase.
- CACP recommends; CCEA decides.
- 22 mandated crops; derived prices for toria/de-husked coconut.
- Sugarcane uses separate FRP.

Claim -> named evidence -> analysis -> qualification

03. COST LADDER

- A2 = paid-out cost.
- A2+FL adds imputed family labour.
- C2 adds owned-land rent and fixed-capital interest.
- Official floor = at least 1.5 x all-India weighted average A2+FL.

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04. PROCUREMENT

- Actual agency purchase requires crop, FAQ, season and place.
- Open-ended paddy/wheat remains operationally bounded.
- Pulses/oilseeds use conditional PSS operations.
- DCP expands State operational responsibility.

Claim -> named evidence -> analysis -> qualification

05. FCI AND CENTRAL POOL

- FCI procures, stores, moves, distributes and manages buffers.
- Central pool serves NFSA, welfare, emergencies and OMSS.
- State agencies can procure into the pool.

Claim -> named evidence -> analysis -> qualification

06. COST ACCOUNTING

- Acquisition = MSP + procurement incidentals.
- Economic cost = acquisition + distribution cost.
- Carrying cost depends on quantity and duration.
- Subsidy bridges economic cost and issue/free distribution.

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07. BUFFER NORMS

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- 1 Apr total 21.04 MMT.
- 1 Jul total 41.12 MMT.
- 1 Oct total 30.77 MMT.
- 1 Jan total 21.41 MMT.
- Norm != dated actual stock.

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08. RELEASE AND STORAGE

- NFSA allocation is entitlement-oriented.
- OMSS sells through market channels.
- PSF is a separate commodity-intervention route.
- Use modern silos, quality audits and dynamic release rules.

Claim -> named evidence -> analysis -> qualification

09. NFSA RIGHTS

- Coverage up to 75% rural / 50% urban.
- PHH: 5 kg/person/month.
- AAY: 35 kg/household/month.
- Free arrangement: 1 Jan 2024-Dec 2028.

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10. DELIVERY REFORM

- Centre: stocks, allocation and support.
- States: identification, ration cards, FPS and delivery.

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- ONORC covers all 36 States/UTs per 2025 review.
- Authentication needs fallback and grievance.

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11. FOOD AND NUTRITION

- Availability + access + utilisation + stability.
- Cereal security does not equal nutrition security.
- Fortified rice: July 2024-Dec 2028.
- Pulses, millets and diverse diets matter.

Claim -> named evidence -> analysis -> qualification

12. MAINS ARCHITECTURE

- Diversify procurement by agro-ecology and nutrition.
- Use dynamic stocks and transparent OMSS.
- Protect NFSA rights and portability.
- WTO peace clause is conditional; Topic 28 owns full rules.
- APMC/e-NAM/FPOs remain Topic 13.

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